

LIMITED SOURCES JUSTIFICATION

ORDER >SAT

[FAR PART 8.405-6](#)

Acquisition Plan Action ID: 36C261-26-AP-2864

JOFOC Tracker: FY26 - NCO 21 - 987

(1) Contracting Activity: Department of Veterans Affairs, Network Contracting Office 21, in support of VISN 21 VA Northern California Health Care System (VANCHCS), Sacramento VA Medical Center at 10535 Hospital Way, Mather, CA 95655-4200. Purchase request VA 2237 number 612-26-2-145-0168.

(2) Description of Action: This acquisition is conducted under the authority of the Multiple-Award Schedule Program ([41 U.S.C. 152\(3\)](#) and [40 U.S.C. 501](#)). The VANCHCS Respiratory Service is requesting replacement Pulmonary Function Test (PFT) System machines to perform body plethysmography. The action will be awarded a new requirement.

Order against: ☒ FSS Contract Number: 36F79726D0006

Name of Proposed Contractor: Medical Graphics Corporation/MDG Diagnostics

Street Address: 350 Oak Grove Pkwy

City, State, Zip: St Paul, MN 55127-8599

Phone: (616) 340-4790

(3) Description of Supplies or Services:

The estimated value of the proposed action is \$417,533.56.

Pulmonary Function Test (PFT) System machines to perform body plethysmography, a noninvasive type of lung function testing known as a pulmonary function test, which can determine how much air is in lungs after inhalation and how much air is in lungs exhalation. The system also includes accessories, software, installation and training to clinical users. The PFT systems are peculiar to one manufacturer, Medical Graphics Corporation.

There are no options included in the order.

(4) Identify the Authority and Supporting Rationale (see below and if applicable, a demonstration of the proposed contractor's unique qualifications to provide the required supply or service. **(CHECK THE APPLICABLE AUTHORITY BELOW AND COMPLETE)**)

☐ [FAR 8.405-6\(a\)\(1\)\(A\)](#): An urgent and compelling need exists and following the ordering procedures would result in unacceptable delays:

☒ [FAR 8.405-6\(a\)\(1\)\(B\)](#): Only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized: MGC Diagnostics is the sole manufacturer and distributor for the PFT system, including the Platinum DX Elite body box. VA NCHCS already standardizes with the MGC PFT system across other sites. Additionally, all PFTs communicate with the electronic health record through an HL7 server that is specific to BreezeSuite/MGC and cannot communicate with any other systems. It is crucial to remain with the same system for compatibility, maintenance, and training purposes.

☐ [FAR 8.405-6\(a\)\(1\)\(C\)](#): In the interest of economy and efficiency, the new work is a logical follow-on to an original Federal Supply Schedule order provided that the original order was placed in accordance with the applicable Federal Supply Schedule ordering procedures. The original order must not have been previously issued under sole source or limited source procedures.

☐ [FAR 8.405-6\(b\)](#): Items peculiar to one manufacturer:

☐ A patent, copyright or proprietary data limits competition. The proprietary data is:

☐ These are “direct replacements” parts/components for existing equipment.

☐ The material/service must be compatible in all aspects (form, fit and function) with existing systems presently installed/performing.

(5) Describe Why You Believe the Order Represents the Best Value consistent with FAR 8.404(d) to aid the contracting officer in making this best value determination: these products represent the best value to the government because they produce the best possible patient care and patient outcomes, and no other comparable system is available.

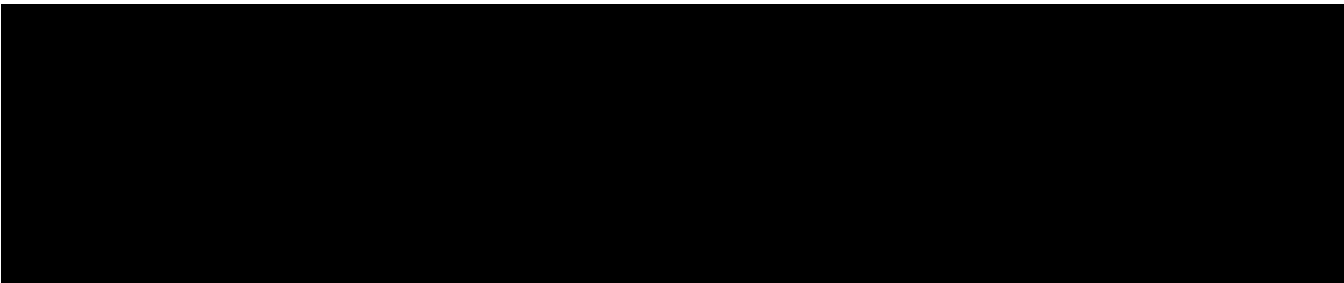
(6) Describe the Market Research Conducted among schedule holders and the results or a statement of the reason market research was not conducted: A search of the Dynamic Small Business Search (DSBS) for SDVOSB's and NAICS “334510” found 432 potential sources. A search of the Dynamic Small Business Search (DSBS) for VOSB's and NAICS “334510” found 456 potential sources. A search of GSA Advantage! for '36F79726D0006' found Medical Graphics Corporation products listed. A search of GSA Advantage! for '36F79726D0006' and 'pulmonary' found nine products which were all offered only under the Medical Graphics Corporation GSA contract 36F79726D0006. A search of GSA Advantage! for 'Pulmonary Function Test System' found no products. However, these are proprietary products which are only available from one source, the GSA FSS contract holder Small Business vendor, Medical Graphics Corporation/MGC

Diagnostics Corp., which is the OEM (Original Equipment Manufacturer) for these products. The VA Rule of Two cannot be met.

(7) Any Other Facts Supporting the Justification: none.

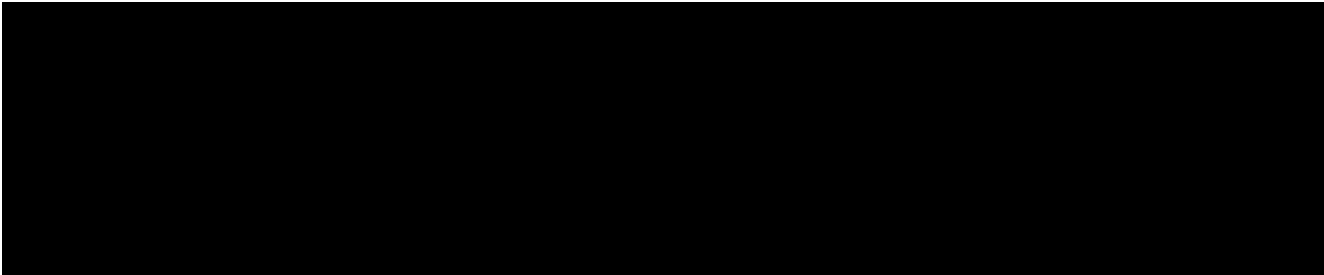
(8) A Statement of the Actions, if any, the agency may take to remove or overcome any barriers that led to the restricted consideration before any subsequent acquisition for the supplies or services is made: market research will continue to attempt to locate additional sources or alternative equivalent products.

(9) Requirements Certification: I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge. I understand that processing of this limited sources justification restricts consideration of Federal Supply Schedule contractors to fewer than the number required by FAR Subpart 8.4. *(This signature is the requestor's supervisor, fund control point official, chief of service or someone with responsibility and accountability.)*



(10) Approvals in accordance with the [VHAPM Part 806.3 OFOC SOP](#):

a. Contracting Officer's Certification (required): I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.



b. One Level Above the Contracting Officer (Required over the SAT but not exceeding \$900K):

I certify the justification meets requirements for other than full and open competition.

